Licence agreement

Lenovo subsidiary Motorola and Sharp sign patent cross-licence agreement

Lenovo subsidiary Motorola Mobility has today announced the signing of a cross-licence patent agreement with Sharp. Made 'in good faith', the agreement relates to each organisation's wireless communication technologies. It is one of several such agreements to be announced in January 2024.

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Electronics Japan Licensing deals

Lenovo subsidiary Motorola and Sharp have signed a cross-licence patent agreement pertaining to wireless communication technologies. © Yingyaipumi/ADOBE STOCK

Motorola, a subsidiary of US-based electronics company Lenovo, and Japanese electronics company Sharp have reached a cross-licence patent agreement. The two companies announced the development today, which comes off the back of another major deal struck between Nokia and Oppo on Wednesday. However, there was no pending litigation between Lenovo/Motorola and Sharp.

FRAND the main driver

According to a press release issued by Lenovo, conclusion of negotiations over FRAND drove the agreement. It says, "Lenovo is pleased to enter into an agreement where both parties came to agree on the fair value of each other's portfolio, with both parties demonstrating their willingness to license on a fair, reasonable, and non-discriminatory (FRAND) basis."

John Mulgrew, VP and global head of IP at Lenovo, says, "Our cross-licensing agreement with Sharp is a textbook example of two companies coming together with mutual respect for each other's investment and innovation, and who are prepared to negotiate on a FRAND basis. FRAND is something that Lenovo is committed to through all licensing negotiations and agreements – whether we are the licensee or licensor."

According to Sharp, its 3G, 4G and 5G SEP portfolios now include more than 6,000 patents. Sharp has licensed SEPs for wireless communication to companies in the telecommunications equipment and automotive industries in Japan, the US, Europe, China, and South Korea. On its website, it notes that the agreement is "based on good faith negotiations". Lenovo has around 1,900 patent families classed as essential to the 3G, 4G and 5G standards.

Settlement season continues

Following the latest settlement between Lenovo/Motorola Mobility and Sharp, since the beginning of January telecommunication companies have announced the signing of three major licence agreements. On 4 January, Nokia and Chinese smartphone vendor Honor signed a licensing agreement which covers both parties' fundamental inventions in 5G and other technologies. The Finnish company had previously also signed an agreement with Apple, which launches this month.

Then, on 24 January, Nokia and Oppo announced that they too had ended all global litigation through the signing of a licence agreement. The companies had fought since 2021, since suing each other in patent courts around the world. Now all patent lawsuits that the two companies had brought against each other in Germany, France, the Netherlands, India, China and the UK, as well as five other countries, are over.

Hot week for SEPs

The agreement also comes just days after the Legal Affairs Committee of the European Parliament adopted measures designed to regulate SEP holders across Europe. The European Commission initially put forward the proposal in April 2023, which it states is intended to reduce the amount of litigation over essential patents in Europe, as well as to increase transparency in licensing.

The EU Commission also laid out plans to establish a competence centre under the umbrella of the European Union Intellectual Property Office (EUIPO). But, according to Reuters, the legislative assembly must first approve the proposals before negotiation with EU governments can begin.

However, the global patent community has reacted strongly to the proposals. For example, Nokia, Ericsson and Siemens wrote a joint letter to EU lawmakers stating their opposition. In an interview with JUVE Patent in November 2023, chief IP counsel at Panasonic, Andrew Yen, said, "The draft SEP regulations may upset the pillars of SEP/FRAND jurisprudence, such as patent law and contract law. From a patent law perspective, the draft SEP regulation appears to have encroached upon fundamental rights provided under national patent law."